

MONRO INC MNRO

September 18, 2026 - 11:59am EST
by

Extreme-mispricings

			2026	2027
Price:	11.80	EPS	0	0
Shares Out. (in M):	32	P/E	0	0
Market Cap (in \$M):	371	P/FCF	0	0
Net Debt (in \$M):	90	EBIT	0	0
TEV (in \$M):	461	TEV/EBIT	0	0

Description

Monro, Inc operates 1,115 tire + auto service locations, and has 46 franchised locations. The business does \$1.15B in revenue and roughly \$85M in reported adjusted EBITDA, though the real EBITDA is roughly \$45M after backing out finance lease costs. MNRO has 31.5M shares out for a market cap of \$370M with \$90M in net debt. Monro was a decades long high performing rollup of tire + service shops, the business has faced pressure over the last few years – with some increased competition, underperformance from prior management, increased technician costs, and some macro pressure on the low-end consumer likely causing trade down and deferrals. This has resulted in MNRO delivering a 4% real EBITDA margin business as of late, down from decades of being a low double digit EBITDA margin business. The stock price has fallen from \$60 to \$11.80 over the last 5 years. We believe the stock is very mispriced as the market hasn't fully caught on to a high probability catalyst that should soon emerge. We believe several key signs point to MNRO being sold in the near future, and we believe MNRO will fetch between \$20-25 per share. The full scope of the context is important, so we explain it below.

Monro has essentially been a controlled company as director Peter Solomon held a “golden share” in the form of a preferred stock that gave him veto rights over all other shareholders. Back in 2023 Solomon entered into an agreement to convert his golden share preferred into regular common – which would take effect in 2026. This officially took effect a couple of months ago, MNRO now has a normal democratic governance structure plus a destaggered board now. This is a big deal. Roughly 18 months ago the MNRO board fired the previous CEO and soon thereafter brought in Peter Fitzsimmons who was a consultant at AlixPartners the turnaround firm, Fitz has experience in the auto aftermarket industry – the last company he came into as CEO was a collision repair business where he improved performance and the company was sold. We believe Solomon and the board brought Fitz in to clean up the company in preparation for handing it off to a buyer. The board entered into an employment agreement with Fitz in December of 2025 – a two-year deal with PSUs tied to stock price performance, starting at \$25/sh where Fitz would make an additional few million dollars in incentive. We believe this also alludes to the end game at MNRO being a value unlocking sale of the company.

The next significant event was Carl Icahn and his investment partnership buying 1/3rd of the company and filing a 13-d back in November, roughly half his position is on swap. This is significant because Icahn is not only one of the most ruthless/experienced corporate raiders/activists – but he has significant knowledge and insights into the auto parts/aftermarket space. Most notably Icahn owned Pep boys for a decade before selling it in July to Mavis (the deal closed in just 30 days). Pep Boys experienced struggles in recent years which led to the business becoming negative on real operating EBITDA in the TTM, per the IEP filings which are public. Icahn was still able to fetch \$700M for the Pep Boys Opco which is doing around \$1.3B in revenue, with the buyer letting Icahn keep the owned real estate – which we estimate will bring in around \$38M per year in rent. This proves even struggling scaled tire+service companies go for .55x revenue plus the seller keeps all the owned RE value. MNRO is universally seen as a better asset than Pep Boys, the numbers prove it out when you compare MNRO's better EBITDA generation.

We believe Icahn bought 1/3rd of Monro (likely around \$17 per share) because 1) he is highly confident the company is worth more, particularly in the private markets with what buyers are paying, and 2) anticipating Solomon's golden share rolling off in 2026 – this flips MNRO from virtually untouchable to essentially an easy activist target. We know entrenched poor governance makes Icahn's blood boil, Icahn is now firmly in position to capitalize on this.

Mavis has been very aggressive in acquiring tire+service companies because they have proven their model works, they can increase profitability predictably by whacking duplicate overhead, using their buying power to lower COGS, and Mavis has reportedly increased same store sales 18 years in a row – they have a playbook that works in driving more flow through. Mavis has a goal of 10k locations, Pep Boys brings them to 4,400 and they greenfield about 130 a year.

We know Mavis is run by smart guys, so it is safe to assume they paid \$700M for a struggling negative EBITDA opco because there are significant synergies/earnings uplift low hanging fruit. It must be on the order of \$120M and probably more. Note MNRO is only around 10% lower on total sales and likely on bay count too. A PE consortium led by BayPine LP paid around \$6B ([link](#)) for Mavis Express Tire Services Corp back in 2021, Mavis Express had 1,100 service centers at the time. The process appears to have been a competitive one and Mavis Express likely went for over 3x revenue. And here's Gabelli hinting at Mavis being a match made in heaven acquirer of MNRO https://youtu.be/7_p1EHbwCxx?si=rnvA98mgj7n14F8_&t=1039

Mavis is not the only aggressive acquirer in the space. You have Sun Auto and Big Brand Tire, both with heavy PE backing and doing a flurry of deals. Big Brand did a big recapitalization last year, and recently they acquired a 185 location operator Belle Tire for reportedly 15x+ EBITDA. There are other PE backed guys that are smaller now but could leapfrog and become a real player if they bought MNRO. They are all hungry for scale as Mavis and others have proved the rollup model works. Discount Tire could be a dark horse buyer – they are family owned and do deals on occasion, they lack a presence in the Northeast – so MNRO would be the asset that would fill them out geographically. Perhaps a clue is they acquired Dunn Tire 3 years ago, Dunn just has ~25 locations in New York and has a very similar model to MNRO in terms of mix and geography. Not sure why a huge company like Discount would do a tiny one off like Dunn, unless they were testing out the MNRO geography (NE) and model before making the big leap.

Interestingly, MNRO is the last player on the board that has real scale and is realistically for sale at a reasonable price (<https://www.moderntiredealer.com/mtd-100-2026>). Unless someone wants to buy Les Schwab Tire out west for \$7B, per Reuters that was their asking price back in 2024. I think this translates to some strategic and scarcity value for MNRO, as the last real scaled asset on the board and probably close to a dozen PE backed aggressive rollup bandits hungry for scale.

While MNRO is a \$45M real EBITDA business as a standalone (fully burdened by overhead, public company costs etc), if it were part of a large group I believe it would be a \$140M+ contributor. As there should be ~\$50M+ in corporate/overhead savings and then more savings on COGS, our Pep Boys estimate of \$120M+ in pf uplift says we are in the right ballpark here. MNRO also owns 330 of its locations, we

believe this RE is worth north of \$350M and it could be a bit higher, we are seeing deals throughout the country at around 6.5% cap rates for MNRO's RE, we use a higher cap rate assumption and still land north of \$350M. This is relevant because buyers are paying for the opco and leaving the seller with the owned RE. We don't see that happening here at MNRO but we believe MNRO will get credit for its owned RE in a deal as the buyer will likely SLB the portfolio which will make the MNRO acquisition financing very doable.

All this stuff is good and lines up well for MNRO, but if the guy running the show (Solomon - for now, at least) is not on board then it could put a wet blanket on MNRO and the realization of the disconnect between the private market value. But I am convinced that Peter Solomon is on board with selling the company. Peter Solomon (88) founded what is now called Solomon Partners, an investment bank that primarily services consumer and retail companies (among others) on M&A work, the firm has over 400 employees and advises on billions in M&A deals annually. I believe Solomon recognizes that the circumstances have clearly changed here at MNRO - which will necessitate him either going out on his own terms in a sale in part stewarded by the firm he founded, or he will get bull rushed, drug through the mud, and lose the battle with Icahn - one of those paths is a lot more appealing than the other - especially at 88 years old. The circumstances have changed, starting with the agreement and since effectuation of the golden share conversion (plus de-staggered board), Icahn buying 1/3rd of the company (another 13-d is Gabelli with over 10%), the hiring and pay package of Fitz who is the prototypical guy you would bring in to clean up and sell it, the business has had enough time to try and drive value creation standalone, the rollup bandits in the private markets are buying at a frenzied pace, and Solomon now has alignment with 1.4M common shares (post pref conversion) for him and his grandkid's trust that would payout >\$30M in a deal. Notably, the chairman (who also is old, 82) got over 40% of the votes held against him at the recent AGM, and that's with half of Icahn's position on swap and him not running a campaign. The writing is on the wall for Solomon. I strongly believe Solomon does not want Icahn to chew up and spit out him or the company he's been attached to for decades, if Solomon doesn't sell the company here then Icahn will either try and buy it himself or run a proxy - which he would definitely win. Ironically, Gabelli and Icahn were the two activists at Pep Boys in 2015 that got them to run a process and sell for a 90% premium.

Further proof comes from the May announcement that MNRO is undertaking a strategic review to maximize shareholder value, they hired BofA and Solomon Partners (per earnings call). They stated that the review could include asset sales, acquisitions, operational changes, a refinancing, or a sale of the company. In speaking with the company it definitely sounded like acquisitions were not on their radar near term and that a sale lease back didn't make much sense because of the taxes and the rent coming back as an expense, I don't think the review is for operational changes because the company did a huge operational review last year, paid a ton of money to AlixPartners, and concluded with an operational plan paired with closing 145 stores, this is not another operational review imo, and I don't think you do all of this for a refi, so that leaves you with sale of the company which I think will happen. Solomon Partners is used as an M&A shop likely 85%+ of the time they are engaged like this, and BofA likely provides a fairness opinion and helps a buyer with financing. I think MNRO hired Solomon because they seriously are after selling the company and Peter wants to go out his way and how better to do that than have your boys help you carry that out. On MNRO hiring Solomon Partners for the review - This related party relationship isn't disclosed in the MNRO filings, most likely because Solomon is below the ownership threshold of the IB that would require related party transaction disclosure, and when MNRO sells for \$22-23 people won't be complaining and BofA is there for another fairness opinion. But if they don't sell the company then I would imagine it could be even more ammo for Icahn (not that he would need it) - he could call out the conflict of MNRO hiring Solomon's boys (figuratively speaking).

I think Solomon knows its time to go out on his terms - not Icahn's, hiring the IB you founded certainly lines up with going on your terms and not someone else's.

I recently read Peter Solomon's memoir, which is nearly 500 pages and was published in 2019. I think it contains several interesting clues, from how he handled things throughout his career.

- He says, "For founders, the timing of exits depends on the circumstances. One answer does not fit all. I've seen many ungraceful exits. Many founders and CEOs, though brilliant, can't settle on a worthy successor."
- He discusses the playbook of rolling up competing tire+service shops leading to buying power/COGS savings and enhanced margins. He also describes when a retail company should sell itself "In terms of PJSC's business, the pressures on retailers and distributors of all business and consumer products have led to increasing numbers of strategic mergers. There is a natural process of geographic or horizontal consolidation as markets grow more slowly and synergies and savings are necessary to sustain profit margins. In retailing, for example, a 2-3 percent same store sales increase is needed to cover the administrative expense increases. When companies run out of room to add new stores, consolidation becomes attractive." "The degree of change has also led to a number of specialty retailers selling to financial sponsors. Lack of expansion opportunities, aging principal shareholders, and the difficulty finding successors capable of managing in the more complex multichannel world have sparked sales. Confident in their ability to manage more successfully in the private world and awash with uninvested funds, private equity funds."
- He discusses a case where a client and their family owned 25% of a public grocery business. Corporate raiders showed up and Solomon recognized the writing on the wall and believed the client had to go for a Management led LBO, but the client didn't want to saddle up with debt so they ended up trying to line up a "white knight" buyer, the company ended up being acquired by KKR. I think this shows he knows when the circumstances change and when activists have the upper hand, and he knows that forces you to adapt.
- He talked about another case where a band of activists came in to a company, one of which was Gabelli (>10% holder of MNRO today), and they gained control and drove out the key man which hurt the business and the stock went down. He states that the proxy advisory firms are a sham. Doesn't sound like a guy who wants activists and proxy advisory firms deciding the future of the company he's been attached too for decades, I think he wants to go out on his terms.
- He talks about the process of selling the majority interest in his company, Solomon Partners. "Prior to the meeting, I reminded myself that I had contemplated a sale for fifteen years and the last dollar was less important than getting the deal done. Planning helps define options and opportunities. At that moment, events had coalesced, and it was essential to capitalize on the timing." Think that quote speaks for itself.

There's a few different ways one could look at what the takeout price of MNRO would be. I look at it as if the buyer is a group with scaled operations already then the synergies are bankable and they are buying \$140M+ in pf EBITDA, plus the RE value is significant and helps make the financing of a deal fairly easy. 5x pro forma EBITDA (and conservatively put just \$100M of additional value on the RE) gets you to \$22.50 per share. Using the Pep Boys comp of .55x revenue for the opco and full value of the RE, you get to \$28. Haircut that by ~25% and you land at \$21+. Mind you MNRO is a better asset than Pep Boys.

I count around \$1.2B in acquisitions MNRO has made since 1995 (and they had 200 locations in 1994), interestingly - this is when the M&A market was much more muted, today buying activity and demand is at a frenzied pace. Not to mention the greenfields MNRO has stood up as well.

Not sure if Mavis is worried about antitrust, as there is overlap here. But there was some overlap at Pep and that deal closed in 30 days so it was a breeze, and Mavis has never had an issue with antitrust because the industry is huge and highly fragmented. Mavis is not going to be able to get to their 10k unit goal without large M&A, and MNRO is the last scaled asset reasonably up for grabs. If I were them, I would go for it and put together a divestiture package if needed. Alternatively, they could buy the MNRO cluster of stores out west, and then

someone else takes down the rest. If Mavis goes for it, they can/would easily pay \$25 – that’s a discount to Pep which is a worse asset.

Discount Tire could also pay mid \$20s if this is the asset they want to fill out their geography. I think your Big Brand Tire and your Sun Auto’s would happily pay the \$22. And then the other consolidators behind them would probably love to pay \$20-21, if not more.

Then I think your stalking horse is Icahn’s IEP that would pay \$19 or so, he just executed the playbook with Pep when he sold the opco to a hungry acquirer and kept the RE, he could do it again and make a handsome profit off of \$19 per share.

Backup Plan

If we are wrong on our read that they will sell the company here, then I still think we probably get a win here. Icahn owns 1/3rd and if they don’t sell the co in this process then I don’t see a world where he doesn’t go after MNRO. He just proved via the Pep Boys sale that MNRO must have a value in the private markets that is dramatically higher than the current quote, and he can now go after a formerly entrenched board in frankly what would be an easy win. His alternative is to dump a third of the entire company onto the market at what \$10? When he just proved MNRO is worth \$25+? And he finally has the window he’s been waiting on in terms of the entrenchment golden share gone?

There are 7M shares short, it’s been an easy “set it and forget it” short as the standalone path hasn’t shown a ton of green shoots toward a major turnaround. But these guys are missing the change that is coming. Short interest is 40% of the float if you assume Icahn and Gabelli aren’t going anywhere. This should be a face ripper if Icahn tries to buy the co or rattles the cages here.

So I think there is a 75% chance the company is sold in this process, in the other 25% of the time – I see a huge likelihood that Icahn bids for it or rattles the cages and I think that sends the stock higher.

I think the market is not connecting all the dots here, they are assuming it’s your typical maybe 40% chance they do a deal and that it would be an \$18 deal. I think the reality is that it’s more like 75% odds and the floor on a deal is more like \$20/21 with a \$22/23 base. And if they don’t sell it I think the stock goes up on Icahn coming for them. I will admit the standalone case is weak and the stock could fall a couple of bucks if there were no Icahn push. But there will be an Icahn push if Solomon doesn’t go out on his terms.

If wholeco bids somehow underwhelm then MNRO could go the route of selling pieces of the business. Which would make the assets digestible and fit specific players desires – we know the rollup bandits have shown a propensity to pay up on pro forma numbers for scaled regional MSOs, a piecemeal asset sale would open up more of them who are willing and able to buy these assets.

Company-operated Store Brands as of March 28, 2026	Stores
Tire Choice Auto Service Centers	297
Mr. Tire Auto Service Centers	297
Monro Auto Service and Tire Centers	296
Tire Warehouse Tires for Less	51
Cap-X Tire & Auto	49
Ken Towery's Tire & Auto Care	30
Mountain View Tire & Auto Service	29
Tire Barn Warehouse	26
Other	40
Total	1,112

The pieces look like the nearly 100 locations out in CA that would likely fetch \$150M, Tire Choice in the southeast and mainly FL around 300 locations that would fetch \$200-250M to a group, Mr. Tire + Ken Towery + The Barn Warehouse + other 400+ would fetch \$150-175M, and Monro + other NE banners in the northeast would fetch \$150-175M, plus \$300M+ for the owned RE they probably sell to a different buyer at a sub 8% cap rate. Before tax slippage this equates to a billion in total value, with a 20% haircut and subtracting \$90M in net debt – that gets us to \$22 per share.

--

Other odds and ends

MNRO recently announced that they are keeping the regular quarterly dividend for the quarter, the dividend yield is now basically double digits on the current stock price. Probably the more rational thing to do would be cut it and invest in the business or keep that cash on the balance sheet. My theory as to why they kept it as is – because if they cut it or eliminate it – they risk a sharp decline in the stock price – which is not desirable when you are a few months into a process and are trying to get \$22, 23 or even maybe \$25 per share. Notably, Fitz is a career turnaround guy so he must typically prefer to stop cash going out the door and rather sure up cash to provide him runway. So this could be another data point that lines up with my theory. Plus, if they were just going for a refi of the debt, then they probably would cut the dividend to show lenders/prospective lenders they are friendly and pay down debt.

Timing wise on MNRO – process was likely kicked off in tandem with the late May announcement. So we are a week or so away from being 4 months in. A 5-6 month process to get to a signed deal makes the most sense to me – it’s in line with or more conservative than most of the historical Solomon partners deals I’ve looked at. Pep Boys took 4 months to get to an initial deal back in 2015. A 5-month process would mean a late October deal, they typically report earnings late October. Also, the poison pill expires November 6th, and the credit facility would go current Nov 10th. So I think a late October or early November lines up.

MNRO comped up 7% in 2009, presumably as consumers elected to keep older/existing cars rather than buy new ones. January through March 2009, the single worst consumer quarter of the financial crisis — comps were +11.2%. So the macro shouldn’t be a huge impact to the thesis here.

I do not hold a position with the issuer such as employment, directorship, or consultancy.

I and/or others I advise hold a material investment in the issuer’s securities.

Catalyst

sale of the company or of assets. Or activism.

Messages

Subject	insider buy
Entry	09/18/2026 06:23 PM
Member	Extreme-mispricings

forgot to mention that the CEO (Fitzsimmons) bought \$500k of stock in the open market in February at an average price of \$19.23 per share. IMO he is no dummy and put his personal capital at risk likely because he is confident in the inevitable endgame here, and knows what the values look like in the private markets.